

August 4, 2026 01:26 AM GMT

Advanced Energy Industries Inc. | North America

Just a really good quarter

WHAT'S CHANGED

Advanced Energy Industries Inc. (AEIS.O)	From	To
Price Target	\$421.00	\$439.00

A big beat and raise brings up our CY27 EPS by 23% to \$16.91 but we still think we're conservative. Reiterate OW.

Key Takeaways

- CY26 revenue growth revised up from low-to-mid 20% to low-to-mid 30%.

What happened? AEIS' JunQ revenue/EPS came in above MSe (\$574mn/\$2.74 vs MSe \$545mn/\$2.24), driven by Semi, and the SepQ guide came in materially above MSe (\$640mn/\$3.00 vs \$608mn/\$2.56). Full year revenue growth was revised up from low-to-mid 20% to low-to-mid 30% driven by Data Center, which was revised up from mid-30% to 50%+.

There was a lot of upside. We initiated coverage of AEIS with an OW rating ([Advanced Energy Industries Inc.: No slowdown to WFE or Data Center, Initiate at OW \(22 Jul 2026\)](#)) based on our view that Street estimates offered significant upside even under highly conservative assumptions for Semiconductor and Data Center. Simply put, there was a lot of upside, and the company's results exceeded our forecasts. **So, where do we go from here?** We see three key questions: **1) Semiconductor:** AEIS will likely undergrow AMAT and LAM in CY26, as both companies are expected to grow faster than WFE. Looking ahead to CY27, we question whether AMAT and LAM could begin rebuilding days of inventory, which would differ from prior cycles. At the same time, it is difficult to envision further inventory reductions, particularly with LAM's DOI at 116 days as of JunQ 2026 - the lowest level since SepQ 2021. **2) 2nd wave Data Center customers:** We viewed AEIS' comment that it "will take at least until 2028, perhaps 2029, for scale among second-wave customers to be similar to hyperscalers" as extremely positive. As highlighted in our initiation, we estimate Meta represented 58% of AEIS' Data Center revenue in 2025. If other customers ultimately scale to comparable levels, there could be substantial upside to our estimates. **3) Data Center 800V:** AEIS did not provide much clarity on how the content opportunity expands with the transition to 800V. We're doing more work on this as well. We continue to model Semiconductor and Data Center conservatively, yet our CY27 EPS estimate still increases by 23%.

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Advanced Energy Industries Inc. (AEIS.O, AEIS US)

Semiconductor Capital Equipment United States of America				
Stock Rating	Overweight			
Industry View	In-Line			
Price target	\$439.00			
Shr price, close (Aug 3, 2026)	\$296.38			
Mkt cap, curr (mm)	\$12,495			
52-Week Range	\$397.44-128.40			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$)**	6.41	11.42	16.91	19.96
Prior EPS (\$)**	-	9.74	13.79	17.54
P/E	32.6	26.0	17.5	14.8
EPS (\$)§	-	9.42	12.29	16.29
Div yld (%)	0.2	0.1	0.2	0.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	1.23	-	2.09a	3.02	3.82
Q2	1.50	-	2.74a	3.31	4.14
Q3	1.74	2.56	3.04	3.58	4.40
Q4	1.94	2.83	3.53	3.89	4.55

e = Morgan Stanley Research estimates, a = Actual Company reported data

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Exhibit 1: JunQ by End Market

Segment	Reported	Est	Diff (%)	Q/Q	Y/Y
Semiconductor	\$ 278	\$ 255	9%	27%	33%
Industrial & Medical	\$ 80	\$ 77	4%	11%	17%
Data Center Computing	\$ 192	\$ 188	2%	-1%	35%
Telecom and Networking	\$ 24	\$ 25	-4%	-4%	11%
Total	\$ 574	\$ 545	5%	12%	30%

Source: Company data, Morgan Stanley Research estimates

Changes to our estimates. We raise our CY27 forecast from \$3.13bn/\$13.79 to \$3.26bn/\$16.91. Our biggest revision is in Data Center, where our CY27 revenue comes up from \$1.24bn (+49%) to \$1.32bn (+47%) and Gross Margin, where our forecast comes up from 41.4% to 42.1%.

Thoughts on the stock. We are more confident in AEIS than we were two weeks ago, as the company delivered results above our expectations. We continue to see upside to our estimates and would not rule out a bull-case scenario of \$20 in CY27 if execution remains strong. Consistent with our revisions for SPE stocks this earnings period, we lower our CY28 target multiple from 24x to 22x, which on our new CY28 EPS of \$19.96 brings up our PT from \$421 to \$439.

Risk Reward – Advanced Energy Industries Inc. (AEIS.O)

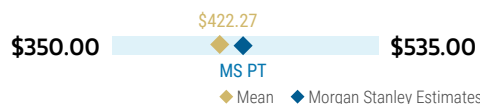
No slowdown to WFE or Data Centers

PRICE TARGET \$439.00

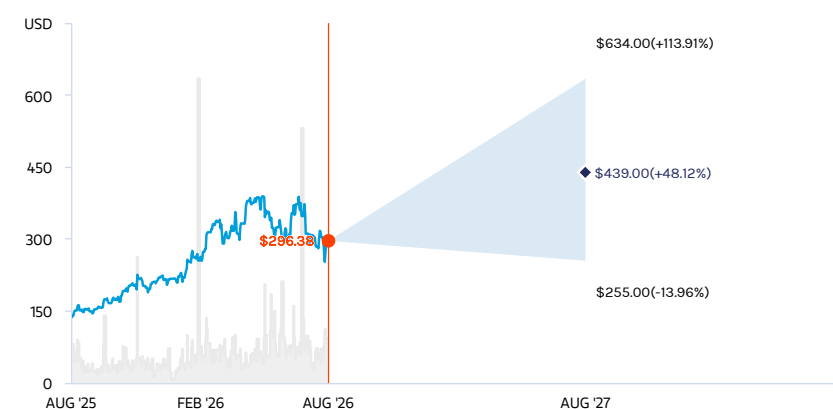
We use a 22x PE multiple on the company's CY28 EPS of \$19.96. Multiple is a slight premium to MKS but at a discount to SPE OEMs, which we believe is warranted based on AEIS's lower GM% profile.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



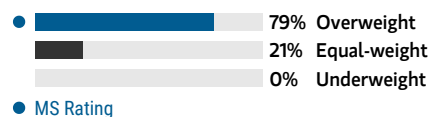
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We think there is significant upside to street estimates for AEIS driven by semi and data center.
- We forecast AEIS's semi business to grow 34% and 33% in 2026 and 2027, broadly in-line with WFE. However, we believe risks are skewed to the upside, as we forecast AMAT and LAM system shipments to grow 41% and 33% and the 2 companies combined for 75% of AEIS' semi revenue in 2025.
- We see strong growth opportunities for DC given a proven track record with Meta, and a broadening of the customer base. We model AEIS' Data Center revenue to grow 52%/47% in 2026/27, but in our bull case where we incorporate content uplift and broader customer adoption, we see 40% upside to our 2027 base case.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$634.00

28x CY28e EPS of \$22.65

Stronger-than-expected WFE market and data center growth in 2026-2027 and market share gains.

- Revenue grows 322.7% in CY28 driven by Semi & Data Center
- Gross margin expands to 43.2% in CY28
- Multiples expand to 28x PE

BASE CASE

\$439.00

22x CY28e EPS of \$19.96

- Revenue grows 14.7% in CY28
- Gross margin expands to 42.2% in CY28
- Multiple at a premium to AEIS's historical average

BEAR CASE

\$255.00

15x CY28e EPS of \$17.00

Weaker-than-expected WFE market and data center growth in 2026-2027.

- Revenue grows 6.7% in CY28
- Gross margin slightly contracts to 40.7% in CY28
- Multiples contracts to 16x PE, closer to late-cycle levels

Risk Reward – Advanced Energy Industries Inc. (AEIS.O)

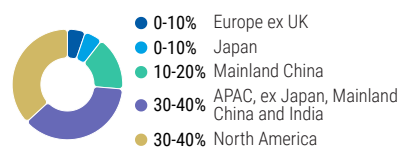
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	1,799	2,437	3,261	3,739
MW Gross Margin (%)	38.7	41.4	42.1	42.2
MW EPS (\$)	6.41	11.42	16.91	19.96
Inventory (\$, mm)	325	498	607	685
DOI (\$, mm)	132.0	164.5	151.7	149.1

INVESTMENT DRIVERS

- WFE growth, especially AMAT & LAM
- Data Center GW deployment, especially Meta

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- AMAT/LAM gain more share than expected.
- 800v transition leads to more than expected content.
- Data Center customer broadens

RISKS TO DOWNSIDE

- AMAT/LAM lose share
- Share loss to Delta in data center

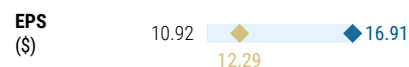
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.6%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 2: Income Statement Summary

AEIS-US: Snapshot for the quarter ended June 2026

Income Statement									
Qtr Results:	Actual			Lst Qtr	QoQ	Lst Yr	YoY	Consensus	MSe
Revenue	\$574.1			\$511.0	12.3%	\$441.5	30.0%	\$544.4	\$545.3
Gross Margin	41.9%			40.1%	182bps	38.1%	383bps	40.3%	40.5%
EPS*	\$2.74			\$2.09	\$0.66	\$1.50	\$1.24	\$2.21	\$2.24
Nxt Qtr Outlook:	Low	High	Midpoint					Next Q Estimate	
Revenue	\$620	\$660	\$640		11.5%	\$463.3	38.1%	\$576.3	\$607.6
Gross Margin	41.0%	41.5%	41.3%		-65bps	39.1%	214bps	40.5%	40.8%
EPS*	\$2.75	\$3.25	\$3.00		\$0.26	\$1.74	\$1.26	\$2.46	\$2.56

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Income Statement Variance

	Reported FQ226	MS Est FQ226	Difference Act. V Est.	Per share Difference
Total Revenue	574.1	545.3	28.8	0.70
Cost of Sales	333.8	324.5	9.3	(0.23)
Gross Profit	240.3	220.9	19.4	0.47
Gross Margin	41.9%	40.5%	1.4%	
R&D	65.0	65.5	(0.5)	0.01
SG&A	69.4	64.8	4.6	(0.11)
Other OpEx (Inc)	(19.6)	(17.7)	(1.9)	0.05
Total Op Expenses	114.8	112.6	2.2	(0.05)
Operating Income	125.5	108.2	17.3	0.42
Operating Margin	21.9%	19.8%	2.0%	
Net Income	112.2	91.7	20.5	0.50
EPS	\$2.74	\$2.24	\$0.50	0.50
Diluted Shares Out.	41.0	41.0		

Source: Company data, Morgan Stanley Research estimates

Projected Financial Statements

Exhibit 4: AEIS: Projected Income Statement

Advanced Energy Income Statement (\$ in millions; fiscal year ends in December)	Mar-25 F1Q25A	Jun-25 F2Q25A	Sep-25 F3Q25A	Dec-25 F4Q25A	Mar-26 F1Q26A	Jun-26 F2Q26A	Sep-26 F3Q26E	Dec-26 F4Q26E	Mar-27 F1Q27E	Jun-27 F2Q27E	Sep-27 F3Q27E	Dec-27 F4Q27E	2024FYA	2025FYA	2026FYE	2027FYE	2028FYE
Revenues - GAAP	404.6	441.5	463.3	489.4	511.0	574.1	643.9	708.0	754.7	804.8	837.2	863.9	1,482.0	1,798.8	2,437.1	3,260.7	3,739.3
Q-o-Q change (%)	-2.6%	9.1%	4.9%	5.6%	4.4%	12.3%	12.2%	10.0%	6.6%	6.6%	4.0%	3.2%					
Y-o-Y change (%)	23.5%	21.0%	23.8%	17.8%	26.3%	30.0%	39.0%	44.7%	47.7%	40.2%	30.0%	22.0%	-10.5%	21.4%	35.5%	33.8%	14.7%
COGS - GAAP	254.1	278.1	288.9	300.3	310.1	338.0	382.5	414.9	439.9	469.0	486.9	502.4	952.6	1,121.4	1,445.5	1,898.3	2,169.1
Gross Profit - MW	153.4	168.1	181.2	194.3	204.8	240.3	265.6	297.4	317.0	338.0	352.5	363.7	537.7	697.0	1,008.1	1,371.2	1,579.0
Gross Margin - MW	37.9%	38.1%	39.1%	39.7%	40.1%	41.9%	41.3%	42.0%	42.0%	42.0%	42.1%	42.1%	36.3%	38.7%	41.4%	42.1%	42.2%
Consensus								41.1%	41.3%	41.6%	41.9%	42.0%			40.5%	40.9%	40.6%
R&D - MW	54.2	59.0	59.1	60.1	62.4	65.0	70.3	75.2	78.7	81.5	82.2	84.9	211.8	232.4	272.9	327.2	358.8
Percentage of Revenues	13.4%	13.4%	12.8%	12.3%	12.2%	11.3%	10.9%	10.6%	10.4%	10.1%	9.8%	9.8%	14.3%	12.9%	11.2%	10.0%	9.6%
Selling, General and Administrative - MW	59.0	60.2	59.8	63.4	62.3	69.4	71.4	72.8	74.6	77.2	78.6	80.2	224.6	242.4	275.9	310.6	339.8
Percentage of Revenues	14.6%	13.6%	12.9%	13.0%	12.2%	12.1%	11.1%	10.3%	9.9%	9.6%	9.4%	9.3%	15.2%	13.5%	11.3%	9.5%	9.1%
Operating Expenses - GAAP	119.9	131.8	125.2	132.5	132.6	141.0	148.3	154.7	159.1	164.5	166.7	171.0	492.6	509.4	576.6	661.3	720.7
Percentage of Revenues	29.6%	29.9%	27.0%	27.1%	25.9%	24.6%	23.0%	21.8%	21.1%	20.4%	19.9%	19.8%	33.2%	28.3%	23.7%	20.3%	19.3%
Operating Expenses - MW	98.6	103.6	103.4	107.4	107.0	114.8	122.1	128.5	133.7	139.0	141.2	145.5	387.3	413.0	472.4	559.5	620.1
Percentage of Revenues	24.4%	23.5%	22.3%	21.9%	20.9%	20.0%	19.0%	18.1%	17.7%	17.3%	16.9%	16.8%	26.1%	23.0%	19.4%	17.2%	16.6%
Sequential change	-3.1%	5.1%	-0.2%	3.9%	-0.4%	7.3%	6.4%	5.2%	4.1%	4.0%	1.6%	3.0%	-0.8%	6.6%	14.4%	18.4%	10.8%
Operating Income - MW	54.8	64.5	77.8	86.9	97.8	125.5	143.5	168.9	183.3	199.0	211.2	218.2	150.4	284.0	535.7	811.7	958.9
Operating Margin MW%	13.5%	14.6%	16.8%	17.8%	19.1%	21.9%	22.3%	23.9%	24.3%	24.7%	25.2%	25.3%	10.2%	15.8%	22.0%	24.9%	25.6%
Total Interest Income (Expense) - GAAP	(0.7)	(2.3)	3.1	0.6	1.7	(28.5)	5.0	3.6	3.7	3.9	4.2	4.5	15.7	0.7	(18.2)	16.2	21.4
% of cash equivalents	-0.1%	-0.3%	0.4%	0.1%	0.2%	-2.9%	0.4%	0.3%	0.3%	0.3%	0.3%	0.3%	1.8%	0.1%	-1.8%	1.1%	1.1%
Total Interest Income (Expense) - MW	0.9	2.3	1.8	1.1	(0.2)	4.9	5.0	3.6	3.7	3.9	4.2	4.5	15.1	6.1	13.3	16.2	21.4
PBT - GAAP	29.9	29.3	52.3	57.2	70.0	66.6	118.1	142.1	159.3	175.2	187.7	195.0	52.4	168.7	396.8	717.3	870.8
PBT Margin GAAP %	7.4%	6.6%	11.3%	11.7%	13.7%	11.6%	18.3%	20.1%	21.1%	21.8%	22.4%	22.6%	3.5%	9.4%	16.3%	22.0%	23.3%
PBT - MW	55.7	66.8	79.6	88.0	97.6	130.4	148.5	172.5	187.0	202.9	215.4	222.7	165.6	290.1	549.0	827.9	980.2
PBT Margin MW%	13.8%	15.1%	17.2%	18.0%	19.1%	22.7%	23.1%	24.4%	24.8%	25.2%	25.7%	25.8%	11.2%	16.1%	22.5%	25.4%	26.2%
Income Tax Expense (Benefit) - MW	8.8	10.2	13.2	12.9	14.2	18.2	23.8	27.6	29.9	32.5	34.5	35.6	25.1	45.1	83.8	132.5	156.8
Effective tax rate MW	15.8%	15.3%	16.6%	14.7%	14.5%	14.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	15.2%	15.5%	15.3%	16.0%	16.0%
Net Income, Cont. Ops. - MW	46.9	56.6	66.4	75.1	83.4	112.2	124.8	144.9	157.1	170.4	180.9	187.0	140.4	245.0	465.3	695.5	823.4
EPS - GAAP	\$ 0.65	\$ 0.67	\$ 1.20	\$ 1.30	\$ 1.58	\$ 1.28	\$ 2.35	\$ 2.82	\$ 3.15	\$ 3.47	\$ 3.72	\$ 3.86	\$ 1.44	\$ 3.84	\$ 8.03	\$ 14.20	\$ 17.19
EPS - MW	\$ 1.23	\$ 1.50	\$ 1.74	\$ 1.94	\$ 2.09	\$ 2.74	\$ 3.04	\$ 3.53	\$ 3.82	\$ 4.14	\$ 4.40	\$ 4.55	\$ 3.72	\$ 6.41	\$ 11.42	\$ 16.91	\$ 19.96

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: AEIS: Projected Balance Sheet

Advanced Energy Balance Sheet (\$ in millions; fiscal year ends in December)	Mar-25 F1Q25A	Jun-25 F2Q25A	Sep-25 F3Q25A	Dec-25 F4Q25A	Mar-26 F1Q26A	Jun-26 F2Q26A	Sep-26 F3Q26E	Dec-26 F4Q26E	Mar-27 F1Q27E	Jun-27 F2Q27E	Sep-27 F3Q27E	Dec-27 F4Q27E	2024FYA	2025FYA	2026FYE	2027FYE	2028FYE
Assets																	
Cash and cash equivalents	\$ 723.0	\$ 713.5	\$ 758.6	\$ 791.2	\$ 699.5	\$ 1,396.5	1,259.6	\$ 1,286.9	\$ 1,356.3	\$ 1,430.5	\$ 1,535.9	\$ 1,652.8	\$ 722.1	\$ 791.2	\$ 1,286.9	\$ 1,652.8	\$ 2,181.8
Trade accounts receivable, net	276.7	304.0	299.5	325.2	376.7	403.6	452.7	497.8	530.6	565.8	588.6	607.4	265.3	325.2	497.8	607.4	685.1
Inventories	368.8	397.9	399.7	411.2	458.7	538.1	608.9	660.5	700.4	746.6	775.2	799.9	360.4	411.2	660.5	799.9	898.7
Other current assets	45.7	44.1	44.9	46.3	54.4	72.7	81.5	89.7	95.6	101.9	106.0	109.4	41.5	46.3	89.7	109.4	123.4
Total Current Assets	1,414.2	1,459.5	1,502.7	1,573.9	1,589.3	2,410.9	2,402.7	2,534.8	2,682.9	2,844.9	3,005.7	3,169.4	1,389.3	1,573.9	2,534.8	3,169.4	3,888.9
Property and equipment, net	193.8	218.4	239.8	272.8	304.3	322.6	358.8	398.8	430.2	463.8	498.5	533.8	185.6	272.8	398.8	533.8	682.7
Right-of-use asset	104.4	107.3	102.6	98.1	102.0	100.9	100.9	100.9	100.9	100.9	100.9	100.9	96.3	98.1	100.9	100.9	100.9
Intangible assets, net	134.0	128.7	123.1	117.7	112.4	107.2	102.0	97.1	92.3	87.9	83.6	79.5	139.4	117.7	97.1	79.5	65.2
Goodwill	297.3	300.9	300.7	300.8	300.2	299.8	299.8	299.8	299.8	299.8	299.8	299.8	296.0	300.8	299.8	299.8	299.8
Other assets	158.5	164.8	169.2	182.5	184.7	185.4	185.4	185.4	185.4	185.4	185.4	185.4	155.3	182.5	185.4	185.4	185.4
Total Assets	2,302.2	2,379.6	2,438.1	2,545.8	2,592.9	3,426.8	3,449.6	3,616.7	3,791.5	3,982.6	4,173.9	4,368.9	2,261.9	2,545.8	3,616.7	4,368.9	5,222.9
Liabilities & Shareholders' Equity																	
Accounts payable	156.7	191.6	194.7	224.1	272.1	316.3	357.9	388.2	411.7	438.9	455.7	470.2	143.5	224.1	388.2	470.2	528.2
Accrued payroll and employee benefits	47.6	58.2	74.2	93.0	60.1	69.8	69.8	69.8	69.8	69.8	69.8	69.8	67.9	93.0	69.8	69.8	69.8
Customer deposits and other	14.2	15.3	12.7	12.7	12.1	14.0	14.0	14.0	14.0	14.0	14.0	14.0	11.5	12.7	14.0	14.0	14.0
Current portion of long-term debt	-	-	-	567.5	568.2	135.6	-	-	-	-	-	-	-	567.5	-	-	-
Current portion of operating Lease liability	19.2	19.3	17.9	15.8	15.7	15.4	15.4	15.4	15.4	15.4	15.4	15.4	17.8	15.8	15.4	15.4	15.4
Other accrued expenses	81.5	72.5	67.0	78.1	72.4	85.0	85.0	85.0	85.0	85.0	85.0	85.0	73.6	78.1	85.0	85.0	85.0
Total Current Liabilities	319.2	356.9	366.5	991.2	1,000.6	636.1	542.1	572.4	595.9	623.1	639.9	654.4	314.3	991.2	572.4	654.4	712.4
Long-term debt, net	565.4	566.1	566.8	-	-	1,128.6	1,128.6	1,128.6	1,128.6	1,128.6	1,128.6	1,128.6	564.7	-	1,128.6	1,128.6	1,128.6
Operating lease liability	96.7	102.1	98.1	95.7	99.2	97.4	97.4	97.4	97.4	97.4	97.4	97.4	89.2	95.7	97.4	97.4	97.4
Defined employee benefit pension plan	51.4	54.5	53.9	49.4	48.5	48.5	48.5	48.5	48.5	48.5	48.5	48.5	49.6	49.4	48.5	48.5	48.5
Other liabilities	35.1	37.4	38.7	38.9	60.2	39.1	39.1	39.1	39.1	39.1	39.1	39.1	37.5	38.9	39.1	39.1	39.1
Total Liabilities	1,067.8	1,117.0	1,124.0	1,175.2	1,208.5	1,949.7	1,855.7	1,886.0	1,909.5	1,936.7	1,953.5	1,968.0	1,055.3	1,175.2	1,886.0	1,968.0	2,026.0
Shareholders' Equity	1,234.4	1,262.6	1,314.1	1,370.6	1,384.4	1,477.1	1,593.8	1,730.7	1,882.1	2,046.0	2,220.4	2,400.9	1,206.6	1,370.6	1,730.7	2,400.9	3,196.9
Total Liabilities & Equity	2,302.2	2,379.6	2,438.1	2,545.8	2,592.9	3,426.8	3,449.6	3,616.7	3,791.5	3,982.6	4,173.9	4,368.9	2,261.9	2,545.8	3,616.7	4,368.9	5,222.9

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: AEIS: Projected Cash Flow Statement

Advanced Energy Statement of Cash Flows (Non Cumulative)													2024FYA					2025FYA	2026FYE	2027FYE	2028FYE
(\$ in millions; fiscal year ends in December)																					
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27									
	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E									
Cash flows provided by (used for) operating activities:																					
Net income	\$ 24.9	\$ 25.5	\$ 46.4	\$ 51.6	\$ 67.3	\$ 54.1	\$ 99.2	\$ 119.4	\$ 133.8	\$ 147.2	\$ 157.7	\$ 163.8	\$ 56.3	\$ 148.4	\$ 340.0	\$ 602.6	\$ 731.5				
Adjustments to reconcile net income to net cash provided by operating																					
Depreciation & Amortization	16.1	15.6	15.1	15.2	15.8	16.5	17.3	18.0	18.6	19.2	19.8	20.5	68.5	62.0	67.7	78.1	89.9				
Stock-based compensation expense	13.0	13.6	14.6	14.5	18.1	21.4	21.4	21.4	21.4	21.4	21.4	21.4	45.9	55.7	82.3	85.6	85.6				
Amortization of debt issuance costs and original issue discount	0.7	0.9	0.8	0.8	0.8	1.3	-	-	-	-	-	-	3.8	3.2	2.1	-	-				
Provision for deferred income taxes	-	-	-	(13.8)	1.2	0.2	-	-	-	-	-	-	(20.5)	(13.8)	1.4	-	-				
Impairment and Loss (gain) on sale of long-lived asset	-	1.6	0.2	(1.8)	-	0.5	-	-	-	-	-	-	-	-	0.5	-	-				
Gain (Loss) on disposal of assets	-	-	-	0.8	-	-	-	-	-	-	-	-	1.2	0.8	-	-	-				
Loss on foreign exchange hedge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Unrealized gain on investment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
(Gain) loss from discount on notes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Gain on sale of central inverter service business	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Other operating activities	0.4	(0.4)	(3.7)	3.7	-	31.5	-	-	-	-	-	-	-	-	31.5	-	-				
Restructuring and asset impairments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Inventory impairment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Provision for doubtful accounts	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Changes in current assets and liabilities:																					
Accounts receivable	(10.7)	(24.2)	3.7	(26.2)	(52.4)	(27.5)	(49.1)	(45.1)	(32.8)	(35.2)	(22.8)	(18.8)	14.6	(57.4)	(174.1)	(109.6)	(77.7)				
Inventories	(7.3)	(25.3)	(2.8)	(12.0)	(48.4)	(79.9)	(70.8)	(51.5)	(39.9)	(46.2)	(28.6)	(24.6)	(27.9)	(47.4)	(250.7)	(139.4)	(98.8)				
Other assets	(5.0)	1.1	(1.8)	(3.8)	(6.4)	(14.5)	(8.8)	(8.1)	(5.9)	(6.3)	(4.1)	(3.4)	(2.1)	(9.5)	(37.9)	(19.7)	(14.0)				
Accounts payable and other liabilities	15.4	34.3	0.8	28.8	45.5	47.0	41.6	30.3	23.5	27.2	16.8	14.5	(0.6)	79.3	164.4	81.9	58.1				
Operating lease right-of-use assets and operating lease liabilities, net	0.8	2.4	(0.7)	-	(0.5)	(1.0)	-	-	-	-	-	-	(0.9)	2.5	(1.5)	-	-				
Other liabilities and accrued expenses	(19.1)	1.4	6.3	21.4	(46.6)	35.6	-	-	-	-	-	-	(5.3)	10.0	(11.0)	-	-				
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Non current assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Non current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Net cash provided by (used in) operating activities from discontinued operations	(0.3)	(1.3)	(0.2)	0.4	(0.4)	(0.6)	-	-	-	-	-	-	(2.2)	(1.4)	(1.0)	-	-				
Net cash provided by operating activities	28.9	45.2	78.7	79.6	(6.0)	84.6	50.8	84.3	118.6	127.2	160.2	173.4	130.7	232.4	213.8	579.5	774.5				
Cash flows from investing activities:																					
Purchase of investments	(1.2)	(0.4)	(0.4)	(0.4)	(1.4)	-	-	-	-	-	-	-	(3.0)	(2.4)	(1.4)	-	-				
Purchase of property and equipment	(13.9)	(28.1)	(27.9)	(37.5)	(36.6)	(49.5)	(48.3)	(53.1)	(45.3)	(48.3)	(50.2)	(51.8)	(56.8)	(107.4)	(187.5)	(195.6)	(224.4)				
Business acquisition, net of cash acquired	-	-	-	-	-	-	-	-	-	-	-	-	(13.8)	-	-	-	-				
Purchase of foreign exchange hedge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Net proceeds from sale of marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Receipt (issuance) of notes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Proceeds from sale of long lived assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Other investing activities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Net cash used for investing activities from discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Net cash used for investing activities	(15.1)	(28.5)	(28.3)	(37.9)	(38.0)	(49.5)	(48.3)	(53.1)	(45.3)	(48.3)	(50.2)	(51.8)	(73.5)	(109.8)	(188.9)	(195.6)	(224.4)				
Cash flows from financing activities:																					
Payment of debt issuance costs	-	(1.9)	-	1.9	-	(0.1)	-	-	-	-	-	-	(0.1)	-	(0.1)	-	-				
Payment of dividends	(3.8)	(3.9)	(3.9)	(4.0)	(3.8)	(4.1)	(3.9)	(3.9)	(3.9)	(4.7)	(4.7)	(4.7)	(15.4)	(15.6)	(15.7)	(17.9)	(21.1)				
Payments or Proceeds from long-term borrowings	-	-	-	(1.9)	-	-	(135.6)	-	-	-	-	-	(355.0)	(1.9)	(135.6)	-	-				
Payment of acquisition holdback	-	(1.5)	-	-	-	-	-	-	-	-	-	-	-	(1.5)	-	-	-				
Purchase and retirement of common stock	(0.5)	(23.2)	-	(6.5)	(0.5)	-	-	-	-	-	-	-	(1.8)	(30.2)	(0.5)	-	-				
Net payments related to stock-based awards	(9.1)	1.1	(0.3)	1.4	(40.6)	1.5	-	-	-	-	-	-	(4.8)	(6.9)	(39.1)	-	-				
Proceeds from sale of warrants	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Payment for purchase of note hedges	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Settlement of performance stock units	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Borrowings (payments) on lines of credit, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Other financing activities	-	-	-	-	-	664.4	-	-	-	-	-	-	-	-	664.4	-	-				
Excess tax benefits from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Net cash used for financing activities from discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
Net cash used for financing activities	(13.4)	(29.4)	(4.2)	(9.1)	(44.9)	661.7	(139.5)	(3.9)	(3.9)	(4.7)	(4.7)	(4.7)	(377.1)	(56.1)	473.4	(17.9)	(21.1)				
Effect of exchange rate changes on cash and cash equivalents																					
	0.5	3.2	(1.1)	(0.9)	(0.9)	(0.1)	-	-	-	-	-	-	(2.6)	1.7	(1.0)	-	-				
Cash and cash equivalents, beginning of period	722.1	723.0	713.5	758.6	791.2	699.5	1,396.5	1,259.6	1,286.9	1,356.3	1,430.5	1,535.9	1,044.6	722.1	791.2	1,286.9	1,652.8				
Change in cash flow due to restatement	(0.0)	-	-	0.90	(1.9)	0.3	-	-	-	-	-	-	0.0	0.9	(1.6)	-	-				
Net increase (decrease) in cash and cash equivalents	0.9	(9.5)	45.1	31.7	(89.8)	696.7	(136.9)	27.3	69.4	74.2	105.3	116.9	(322.5)	68.2	497.3	365.9	529.0				
Cash and cash equivalents, end of period	723.0	713.5	758.6	791.2	699.5	1,396.5	1,259.6	1,286.9	1,356.3	1,430.5	1,535.9	1,652.8	722.1	791.2	1,286.9	1,652.8	2,181.8				

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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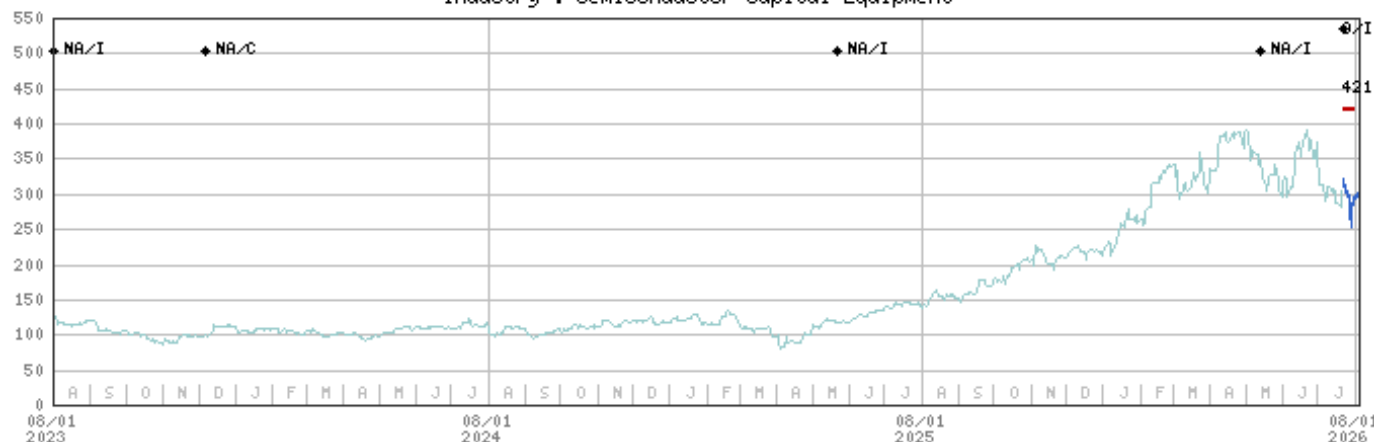
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Stock Price, Price Target and Rating History (See Rating Definitions)

Advanced Energy Industries Inc. (AEIS.O) - As of 08/04/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 8/1/21 : NA/I; 12/7/23 : NA/C; 5/22/25 : NA/I; 5/13/26 : NA/I; 7/22/26 : O/I

Price Target History: 5/13/26 : NA; 7/22/26 : 421

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/03/2026)
Shane Brett		
Advanced Energy Industries Inc. (AEIS.O)	O (07/22/2026)	\$296.38
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$518.21
Camtek (CAMT.O)	E (12/01/2025)	\$139.79

KLA Corp (KLAC.O)	O (01/15/2026)	\$182.75
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$294.61
MKS Inc. (MKSI.O)	O (08/04/2024)	\$309.98
Nova Ltd (NVM.L)	E (12/01/2025)	\$393.69
ONTO Innovation Inc (ONTO.N)	O (06/14/2026)	\$268.49
Teradyne Inc (TER.O)	E (07/30/2025)	\$365.80

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